WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

INDONESIA

Asia

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Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Jakarta	Capital and commercial centre; the single largest investment destination, attracting 17.2% of realised investment in H1 2026	Financial services, digital economy, real estate, consumer markets
West Java and Banten	Industrial heartland adjoining Jakarta, with West Java drawing Rp138.1 trillion and Banten Rp66.3 trillion of investment in H1 2026	Manufacturing, automotive, data centres, industrial estates
East Java (Surabaya)	Second commercial hub and major port gateway for eastern Indonesia, with Rp72.7 trillion of investment in H1 2026	Manufacturing, food processing, logistics
Central Sulawesi and North Maluku	Centre of the nickel downstreaming drive and the leading provinces for foreign direct investment, driven by mineral processing	Nickel processing, basic metals, battery supply chain
Riau Islands (Batam, Bintan, Karimun)	Located across the strait from Singapore, Indonesia's largest source of FDI; among the top three provinces for FDI in H1 2026	Export manufacturing, electronics, shipyards, logistics
Special Economic Zones (25 nationwide)	Dedicated zones with tax and customs incentives that have attracted Rp353 trillion of cumulative investment and around 260,000 jobs by Q1 2026	Industry, tourism, energy, digital and logistics

INVESTOR ENTRY ROUTES

- Ministry of Investment and Downstreaming/BKPM, the national investment agency, which administers foreign-investment licensing and facilitation through the Online Single Submission (OSS) risk-based licensing system
- Risk-based licensing reforms under Government Regulation 28/2025 and BKPM Regulation 5/2025, which cut the minimum paid-up capital for foreign-owned companies (PT PMA) from Rp10 billion to Rp2.5 billion
- Special Economic Zones (25 locations) offering tax and customs incentives, with Rp353 trillion of cumulative realised investment by Q1 2026
- Co-investment with Danantara, the sovereign investment fund, which plans around $13.1 billion of investment in 2026 across waste-to-energy, data centres, chemicals and agriculture
- Bank Indonesia oversight of a floating rupiah; natural-resource exporters must retain export proceeds onshore (generally 100% for 12 months in state-owned banks), with an eased 30%/three-month option since September 2026 for qualifying mining exporters

- Downstreaming and processing investment in nickel, bauxite and other minerals, where the government actively seeks foreign partners for value-added processing
- Trade-agreement routes, including the US reciprocal trade agreement of February 2026 and the Indonesia–EU CEPA targeted to apply from early 2027

MARKET-ENTRY OBSERVATION

Indonesia in October 2026 offers the scale and steady growth of South-East Asia's largest economy. GDP grew 5.11% in 2025, up from 5.03% in 2024, and accelerated to 5.45% in the first half of 2026 (5.61% in Q1 and 5.29% in Q2), led by household consumption, investment, manufacturing, construction and ICT. Realised investment reached Rp1,010.6 trillion in H1 2026, about half of the Rp2,041.3 trillion annual target, with foreign investors accounting for around half, with Singapore, Hong Kong, China, Japan and the United States the leading sources and data centres emerging as the second-largest sector. Reforms to risk-based licensing, lower capital requirements for foreign companies, a reciprocal trade agreement with the United States signed in February 2026 and the forthcoming Indonesia–EU CEPA are broadening the opportunity set.

Indonesia's main structural challenge is sustaining market confidence in its currency and fiscal framework while funding an ambitious development agenda. The rupiah has weakened by about 7% in 2026, trading around Rp18,000 to the dollar in October, and Fitch moved its BBB outlook to negative in March, following Moody's, citing policy predictability and the cost of flagship programmes. Policymakers have responded decisively: Bank Indonesia raised its policy rate by 100 basis points to 5.75% in May–June and is intervening to stabilise the currency, while the 3% of GDP deficit ceiling remains in law. Buffers are substantial, with reserves of $146.3 billion covering 5.3 months of imports and a trade surplus of $7.25 billion in January–August 2026. For investors with dollar revenues or export orientation, a more competitive rupiah lowers local costs and supports entry valuations.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Rupiah volatility	The rupiah has weakened by about 7% in 2026, raising costs for importers and investors with dollar-denominated debt	Bank Indonesia's rate rises, active intervention and $146.3 billion of reserves anchor stability; hedge local-currency exposure and favour export-earning or natural-hedge structures
Fiscal and policy predictability	Fitch (March 2026) and Moody's have moved their outlooks to negative, citing programme costs and centralised decision-making; Fitch affirmed its investment-grade BBB rating	The legal 3% of GDP deficit ceiling provides an anchor; structure projects with clear contracts and engage early with the relevant ministries and Danantara
Export proceeds retention rules	Natural-resource exporters must generally keep 100% of export proceeds onshore for 12 months in state-owned banks, affecting treasury planning	Use the eased 30%/three-month option where eligible; plan liquidity and financing around retention periods
Capital-market review by MSCI	MSCI has raised questions about local stock-market functioning and Indonesia's index classification, weighing on portfolio flows	Direct and strategic investors are less exposed to index flows; regulatory steps to improve market functioning could unlock a re-rating
Regulatory complexity and local requirements	Licensing spans central and regional authorities, and sector rules including local-content requirements can be detailed	The OSS risk-based system and 2025 licensing reforms simplify entry; use experienced local counsel and BKPM facilitation
Inflation and interest rates	Inflation rose to 3.28% in September 2026, within Bank Indonesia's 1.5–3.5% target band, and borrowing costs have risen	Inflation remains within target; consider offshore or blended financing and DFI co-lending for larger projects
Archipelagic geography and infrastructure	Logistics across thousands of islands adds cost, particularly outside Java	Locate in SEZs and industrial estates with ready infrastructure; infrastructure gaps are themselves a major investment opportunity

INVESTOR RISK NOTE

Indonesia's risk profile is that of a large, diversified and steadily growing economy managing a period of currency and market pressure. Growth has held above 5% for several years and rose to 5.45% in H1 2026, realised investment reached Rp1,010.6 trillion in the first half, and reserves of $146.3 billion and a continuing trade surplus provide meaningful buffers. The main considerations for investors are rupiah volatility, rating-agency attention to fiscal and policy predictability, MSCI's review of the local equity market and export-proceeds retention rules for resource exporters. Each is being actively addressed: Bank Indonesia has tightened policy and intervened in the currency market, the 3% deficit ceiling remains in force, and retention rules have been eased for qualifying mining exporters. Investors should apply standard currency hedging, take local legal advice on licensing and sector rules, and model treasury flows around retention requirements, while recognising that a more competitive rupiah can improve entry costs for long-term investors.

MARKET ACCESS

Indonesia is a founding member of ASEAN, giving preferential access to South-East Asian markets, and a party to the Regional Comprehensive Economic Partnership (RCEP) and the WTO. A reciprocal trade agreement signed with the United States in February 2026 sets a 19% base US tariff with zero-duty treatment for 1,819 tariff lines, including palm oil, coffee, cocoa, rubber, semiconductors and aircraft parts. The Indonesia–EU Comprehensive Economic Partnership Agreement, under which the EU will remove duties on 98.5% of tariff lines, is targeted to apply from early 2027, and CPTPP members launched accession discussions with Indonesia in June 2026, with full membership targeted for 2027. Exports reached $193.6 billion in January–August 2026, with China, the United States and India the leading markets, while Indonesia has also joined the BRICS-led New Development Bank.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Prabowo Subianto)	Sets national economic priorities, including downstreaming, the free nutritious meals programme and an 8% growth target	Primary reference point for understanding Indonesia's strategic direction
Ministry of Investment and Downstreaming/BKPM	National investment agency; administers licensing through the OSS system and leads investment promotion and downstreaming policy	Standard first point of contact for market entry, licensing and incentive guidance
Bank Indonesia	Central bank; sets the BI-Rate (5.75%), manages reserves and the rupiah, and oversees export-proceeds placement	Relevant for currency, hedging and foreign-exchange regulation
Danantara (Daya Anagata Nusantara)	Sovereign investment fund leading large co-investments in downstreaming, waste-to-energy, data centres and agriculture	Key co-investment partner for large-scale and strategic projects
Ministry of Finance	Manages the budget, the 3% deficit ceiling, tax incentives and customs	Relevant for fiscal incentives, tax holidays and customs facilities
Financial Services Authority (OJK) and Indonesia Stock Exchange	Regulate banking, capital markets and listings, and are central to the market-functioning issues raised by MSCI	Relevant for financial-services entry, listings and portfolio investment
Ministry of Trade	Leads trade policy and export promotion, including IEU-CEPA implementation and CPTPP accession	Relevant for market-access planning and export strategy

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Indonesia, EuroCham Indonesia and the British Chamber of Commerce in Indonesia are the leading Western business associations, alongside the Indonesian Chamber of Commerce and Industry (KADIN) for domestic business liaison; bilateral chambers such as the German-Indonesian Chamber of Commerce (EKONID) are active on trade-agreement implementation. The Indonesia–UK Economic Growth

Partnership signed in January 2026 provides a structured framework for UK engagement. BKPM and Danantara promote investment through domestic forums and international platforms, including the World Economic Forum. The World Bank, IFC and Asian Development Bank maintain large country programmes in infrastructure, energy transition and private-sector development, and can support co-financing for larger projects.

INVESTOR PROFILE BEST SUITED

Indonesia suits investors seeking long-term exposure to a large consumer market and a resource-rich, industrialising economy: mineral-processing and battery supply-chain investors building on the nickel and bauxite downstreaming programme; digital infrastructure and data-centre investors drawn by fast-growing demand; manufacturing investors targeting export markets under the new US and EU trade arrangements; and infrastructure, energy-transition and agribusiness investors able to partner with Danantara or development finance institutions. Investors with export revenues or natural currency hedges are particularly well placed, while those with local-currency revenues should build standard hedging into project economics.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage BKPM and map licensing requirements
Use the Ministry of Investment and Downstreaming/BKPM and the OSS system to confirm sector eligibility, capital requirements and available incentives.

STEP 2: Explore co-investment with Danantara
Assess partnership opportunities in Danantara's 2026 priorities, including downstreaming, waste-to-energy, data centres, chemicals and agriculture.

STEP 3: Build currency and treasury planning into the investment case
Hedge rupiah exposure and, for resource exporters, model cash flows around export-proceeds retention rules and the eased options available.

STEP 4: Position for new trade agreements
Evaluate how the US reciprocal trade agreement, the IEU-CEPA from 2027 and CPTPP accession can improve export economics for Indonesian production.

STEP 5: Leverage Special Economic Zones and industrial estates
Engage zone operators directly to secure tax and customs incentives and ready-built infrastructure for manufacturing and processing projects.